

some point in time, they will need to evaluate bringing a premium factor to the consumer,” he says.

Chandra says that there can always be a debate on whether there’s a need for a brand in between. “That brand should be supported with a very strong underlying volume base. Current Tata brands sell within the range of ₹6.5-25 lakh-plus. The luxury players start selling at ₹45 lakh-plus,” he says, asserting that the ₹25-45 lakh is a very low-volume segment. “I’m moving away from less-than-4-m-heavy to more than 4-m-heavy cars, possibly exiting or reducing my presence in the affordable segment. So, my image will grow. Now there’s an opportunity with JLR to see whether they can create a more affordable brand... whether there’s an overlap starting to come,” he says.

As far as the competition from Hyundai Creta in the 4.3-metre segment is concerned, Chandra is sure that he doesn’t want to come up with a “me-too” product. “Curvv is a coupe kind of a product. It’s a first in that segment. Then I’m coming up with Sierra, which has a classic style combined with all the modern tech. There’s a budget of ₹12 lakh for that segment of customers and they’re looking for a good product. We’re approaching it from that perspective, to have a target cost in mind and what innovation we can then build in the product,” he says.

Vangaal says that Curvv might be able to undercut Creta’s market but there’s also strong competition from market leader Maruti Suzuki’s Grand Vitara. “The market might shift towards that since Maruti is now aggressively looking at that segment,” he says.

Chandra says that Tata Motors’s range of SUVs is the widest in the Indian market. “It starts from Punch which is the most accessible SUV, [and] ends with Sa-

fari, which is the most high-end SUV... we’re trying to address the requirement of SUVs in different size and price points that’ll lead to fragmentation and more customers buying SUVs.”

Prabhudas Lilladher’s Research Analyst Himanshu Singh agrees that the company’s primary future challenges will come from competitors aggressively eyeing the SUV market. “The company (Tata Motors) has been quite aggressive in the PV segment. The company’s biggest challenge will be to sustain market share in the face of intensifying competition. Maruti has lost a lot of market share, and now that it has become aggressive, it might be difficult to grow as much for Tata Motors,” says Singh.

Tata Motors has attained close to 14 per cent market share in PVs, which, according to Singh, is “more or less a saturation point” for the auto major. “For them to gain more market share might become very difficult. Its market share has almost doubled in this fiscal. They might not see that kind of market share gain. It has reached saturation in terms of market share,” he says.

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A LEADER IN India’s electric vehicles (EV) market (it sells around 4,000 EVs a month), Tata Motors aims to capitalise on consumers’ new-found thirst for EVs. Chandra is confident that the company’s future will be powered by more emission-friendly technologies and bigger cars. “This journey will be driven by more electric cars. We expect 20-25 per cent of the next 5 million to come from EVs,” he says.

On the back of just three EV offerings—Nexon, Tiago and Tiago, Tata Motors has already garnered the lion’s share of 83 per cent of the Indian passenger EV market. But the company is not resting on its laurels. It recently announced its plans to invest ₹15,000 crore in the segment over the next five years and launch around 10 products. It has also raised \$1 billion in funding from private equity major TPG for its EV division. All these efforts are bearing fruit. Its newly-launched Tiago EV at an introductory price of ₹8.49 lakh received more than 10,000 bookings on the day after its launch—becoming the most affordable EV in the world at that point. “We’re not in the race of making the cheapest cars. We want to focus on bringing different aspirational features and body styles and then we see the cost aspect. But we don’t compromise on the aspiration quotient,”

NOW, TATA MOTORS HAS A CAPACITY OF 480,000 UNITS ACROSS MULTIPLE PLANTS. IN APRIL-DECEMBER 2022, IT PRODUCED 409,173 PASSENGER VEHICLES